

Pain remains: On inflation

Fall in food prices **is** only one part of the **inflation** story

The continued **fall** in inflation to a 77-month low of 2.1% in June 2025 **should** serve as a significant source of relief for **policymakers**. The general public, however, would not be too **thrilled**. There is some good news for them, but also a significant dose of pain. Food inflation, for example, saw a significant **easing**, although that too is a seasonal effect rather than a structural one. Food and **beverage** prices **contracted** 0.2% in June 2025 on a high base of 8.4% in June last year. **Key items** such as vegetables, pulses, spices and meat **saw** prices falling in June compared to their levels last year. But food is not all that people spend their money on. The data reveal that there were several items and services of common consumption that saw inflation **quicken**ing in June. The education and stationery segment saw inflation quicken to 4.4% in June, the highest in 15 months. This was driven by a jump in the prices of school, college, and private tuition. **Inflation** in the health-care category, too, **was** at a 15-month high in June. **Compounding** this, the personal care segment saw inflation jumping to a **blistering** 14.8% in June, the eighth month of double-digit inflation in the last nine months. **Products** such as soap, toothpaste, shampoo and sanitary napkins — items of daily or regular use and **by no stretch** luxuries — **have** become more expensive. So, overall, food is cheaper, but nearly everything else is more expensive.

This **leads to** an important policy question, one that has been asked several times before: is the **headline inflation** data adequately capturing the price rise the average Indian faces? The **food basket** itself carries a 46% **weight** in the overall **Consumer Price Index** (CPI), meaning that any change in this category has an **inordinate** impact on the headline number. The recent Household Consumption Expenditure Surveys show that food comprises a much smaller share of about 30% in the expenditure of households. **Bringing** the CPI weight of food **down** to **align with** this **will** allow the overall CPI to be more representative. **To be fair**, that process is on, with the Ministry of Statistics and Programme Implementation in the process of updating the CPI. **The CPI base year** — so far set as 2011-12 — **is** being updated to a more recent time period, and the weights of the different categories are also being revised. This update cannot happen fast enough, as even monetary policy is currently dependent on this **outdated** and **unrepresentative** measure. **In the meantime**, it is important not to **get swayed** by the fall in the headline number itself. The felt **experience** of the average Indian **is** described in the details, and it is still a painful one. [Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Inflation** (noun) – price rise, cost escalation, increase, surge, upswing – मुद्रास्फीति
2. **Policymaker** (noun) – legislator, regulator, lawmaker, strategist, administrator – नीति निर्माता
3. **Thrilled** (adjective) – excited, delighted, overjoyed, elated, ecstatic – रोमांचित
4. **Easing** (noun) – reduction, decline, drop, relaxation, softening – गिरावट / राहत
5. **Beverage** (noun) – drink, refreshment, liquid, soft drink, fluid – पेय
6. **Contract** (verb) – shrink, reduce, decrease, lessen, narrow – घट जाना
7. **Key** (adjective) – essential, important, crucial, vital, central – मुख्य
8. **Quicken** (verb) – accelerate, hasten, intensify, increase, surge – तेज़ होना
9. **Compound** (verb) – worsen, aggravate, intensify, amplify, heighten – और खराब करना
10. **Blister** (verb) – surge, rise rapidly, flare, soar, spike – अचानक तेज़ी से बढ़ना
11. **By no stretch** (phrase) – not at all, in no way, never, certainly not, absolutely not – किसी भी रूप में नहीं
12. **Lead** (to) (verb) – result in, cause, bring about, give rise to, produce – कारण बनना
13. **Headline inflation** (noun) – overall inflation, total CPI, general price rise, broad inflation, complete index – मुख्य मुद्रास्फीति
14. **Food basket** (noun) – a selection of food items, often intended to meet basic nutritional needs, that are either purchased or provided to individuals or families.
15. **Weight** (noun) – importance, proportion, value, percentage, share – भार / महत्व
16. **Consumer Price Index** (noun) – a measure of the average change over time in the prices paid by consumers for a representative basket of consumer goods and services उपभोक्ता मूल्य सूचकांक
17. **Inordinate** (adjective) – excessive, disproportionate, extreme, undue, unreasonable – अत्यधिक
18. **Bring down** (phrasal verb) – reduce, lower, cut, decrease, lessen – घटाना
19. **Align** (with) (verb) – match, correspond, harmonize, fit, coordinate – मेल खाना / संतुलित करना
20. **To be fair** (phrase) – honestly, in fairness, truthfully, impartially, objectively – निष्पक्ष रूप से

21. **Outdated** (adjective) – obsolete, old-fashioned, antiquated, expired, behind the times – पुराना / अप्रचलित

22. **Unrepresentative** (adjective) – inaccurate, biased, skewed, misleading, partial – प्रतिनिधित्व न करने वाला

23. **In the meantime** (phrase) – meanwhile, until then, during this time, for now, in between – इस बीच

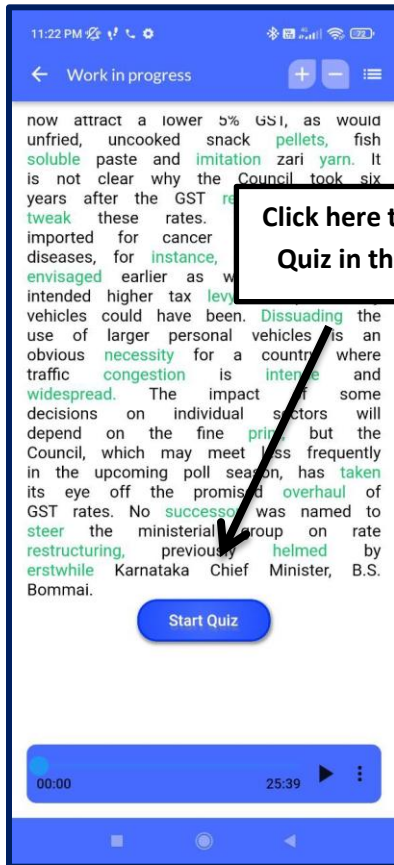
24. **Get swayed** (phrase) – be influenced, be misled, be affected, be persuaded, lose objectivity – प्रभावित हो जाना

@mocks_wallah

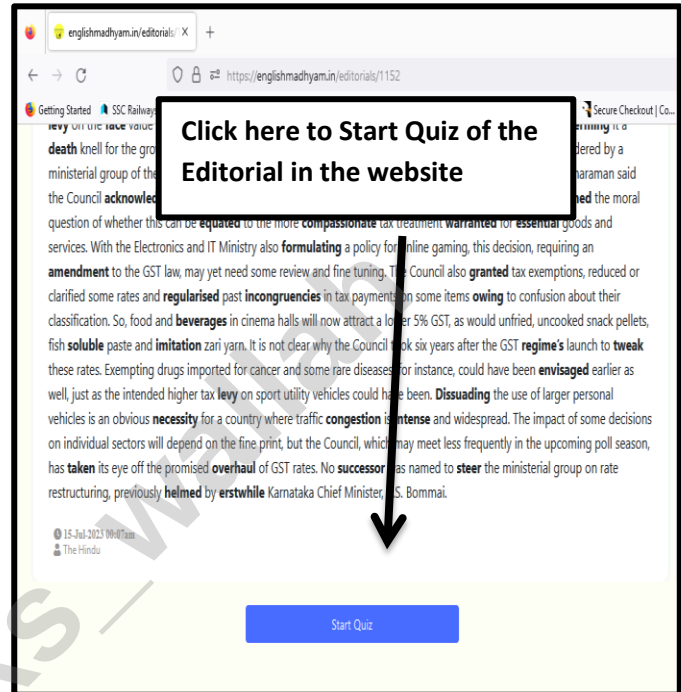
Summary of the Editorial

1. Inflation dropped to a 77-month low of 2.1% in June 2025, which offers some relief to policymakers.
2. General public, however, may not feel much relief, as price pain persists in non-food categories.
3. Food inflation eased significantly, with prices for vegetables, pulses, spices, and meat falling compared to last year.
4. The drop in food prices is seasonal, not structural, suggesting it may not last.
5. Food and beverages recorded a 0.2% contraction, compared to a high 8.4% inflation in June 2024.
6. Education and stationery inflation rose to 4.4%, the highest in 15 months, driven by hikes in school, college, and tuition fees.
7. Healthcare inflation also reached a 15-month high, indicating rising costs in medical services.
8. Personal care product inflation surged to 14.8%, marking the eighth month of double-digit inflation in nine months.
9. Essential items like soap, toothpaste, shampoo, and sanitary napkins have become costlier, affecting everyday living.
10. Though food is cheaper, most other essential goods and services have become more expensive.
11. This disparity raises concerns about the accuracy of the headline CPI (Consumer Price Index) in reflecting real consumer experience.
12. Food holds a 46% weight in the current CPI, which skews the headline number, despite food forming only about 30% of actual household spending.
13. Experts recommend updating CPI weights to better reflect actual consumption patterns from recent Household Consumption Expenditure Surveys.
14. The government is working on revising the CPI base year (currently 2011-12) and updating category weights to make inflation data more realistic.
15. Until this revision is completed, headline inflation may misrepresent the economic reality, and for the average Indian, the inflation experience remains painful.

Practice Exercise: Banking Pattern Based



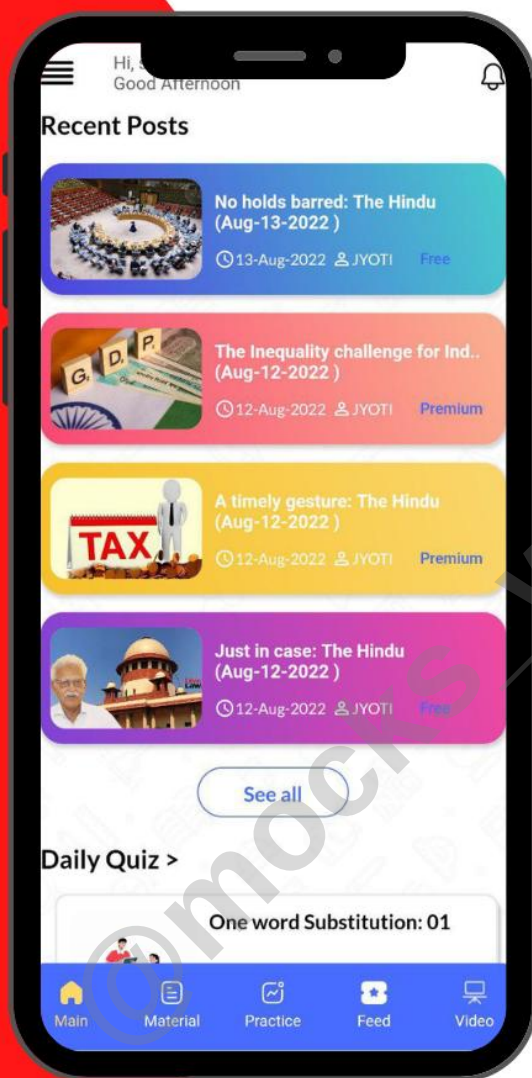
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